Japan: Tradition and Modernization

Corporate Governance · Session 17 · Source: Lecture 5 deck (“Bocconi - 5. Variety of capitalism 3 Japan”)

By the end of this session you should be able to explain how Japan combines a competitive big-business economy with stakeholder-oriented governance: who owns listed Japanese companies today, how the keiretsu system works (horizontal and vertical groups, cross-shareholdings, no legal personality), what lifetime employment (shūshin koyō) really covers, how the 1990s financial crisis (the Lost Decade) transformed ownership and governance, how the corporate governance framework evolved from the corporate auditors system to the 2015 CG Code, and why hostile takeovers have stopped being a taboo (METI 2023 guidelines, the Couche-Tard / Seven & i bid of 2024-2025).

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1. A modern capitalism?

Japan is a relatively small country in territory and population, yet its economy has been built since industrialization on a significant share of big private business, internationalized and competitive abroad, in medium-tech industries and mass production.

- GDP per capita is about **$40k**, placing Japan among the first 30 countries of the world economy.
- Japanese presence in the **Fortune Global 500** has declined but remains large: **68 companies in 2005, 71 in 2010, 53 in 2020, 38 in 2025**. Over the same years the USA went 176, 139, 93, 141 and China 16, 46, 124, 130.
- Corporate density is remarkable: **5.6 million joint-stock companies (kabushikigaisha)**, more than 10,000 of them with a joint-stock capital of ¥500 million (about €3 million) or more.
- By the end of October 2026, **3,883 listed companies** across the country’s four stock exchanges: **Tokyo, Nagoya, Fukuoka and Sapporo**.

So Japan is a solid, competitive capitalism; the question the session asks is whether its governance is also “modern” in the Anglo-Saxon sense.

2. Ownership structures of listed companies

Today’s most relevant ownership categories, **in order of relevance**:

1. **Foreign investors** (individuals, funds and companies)
2. **Trust banks** (acting as institutional investors)
3. **Other companies** (non-financial)
4. **Domestic individuals/households**
5. **Financial institutions** (banks and insurance companies)

The relative weight of these categories has been changing since the financial crisis of the early 1990s and the “lost decade” that followed. The striking fact is the first rank of foreign investors, a historically new situation for Japanese capitalism.

3. Still a case of stakeholder capitalism

Despite the shifts, the ownership pattern still reflects structural features of Japan’s industrial culture, which shapes how governance works:

- **Horizontal and vertical business groups (keiretsu)** remain a significant presence, marked by a dense network of cross-shareholdings that, in vertical keiretsu, extends to suppliers.
- **The financial system plays a notable part**: banks and insurance companies figure among the leading shareholders of firms.
- **Employees continue to carry weight**, although they lack the formal representation found in Germany (no co-determination).
- **Government influence is pervasive though officially “hands-off”**: it operates through informal pressure, retired officials (the **amakudari**, literally “descent from heaven”) and industrial policy, yet **without recourse to State-owned enterprises**.

Contrast with the other models studied: Japan shares bank presence and cross-shareholdings with Germany, but has no worker board representation; it shares the State’s weight with France, but the influence is informal (amakudari,

industrial policy) rather than through direct ownership.

4. Lifetime employment (shūshin koyō) and its limits

Shūshin koyō (lifetime employment): the employer commits not to lay off workers, if possible, even during a depression; the employee in turn does not quit and tends to stay until retirement age.

The practice is particularly common in large firms, but the myth exceeds the reality:

- Around **40% of workers aged 50-59 in large firms** have never changed workplace, compared to only **7% in small businesses**.
- In practice lifetime employment applies to only a **small proportion of the labor force, about 20%**.
- Large firms meet restructuring and downsizing targets by relying heavily on **transfers of employees to subsidiaries and related firms** and on **hiring cuts**, thus avoiding formal layoffs.

The governance question the deck poses: do Japanese firms serve shareholders' interests or protect their human resources? The answer is the historical priority of employees and continuity over shareholder returns, which is exactly what the CG reforms now challenge.

5. The keiretsu system

Keiretsu: literal meaning "interest groups", "clusters", "trusts". Business groups characterized by cross-shareholdings. Two forms:
- **Horizontal keiretsu:** very large companies, leaders in very different industries.
- **Vertical keiretsu:** companies in the same industry connected by subcontracting hierarchical relationships (the Toyota keiretsu is the deck's example).

A crucial technical point: **unlike Western business groups, keiretsu are not legal entities**. They do not, for instance, have a consolidated balance sheet. Coordination comes from cross-shareholdings, the main bank and long-term relationships, not from a holding company's formal control.

6. The Lost Decade and its structural effects

At the beginning of the 1990s a financial crisis hits the banking system: a **bubble-boom and burst in the real estate industry generated by a phase of low interest rates**. A process of structural transformation of ownership and governance follows:

- **Restructuring of the banking system** through mergers.
- **Reduced pervasiveness of banks** in the keiretsu system.
- Banks, rescued by Government and Central Bank intervention, are much more **severely monitored in their lending activity**.
- Industrial companies try to **attract foreign capital and investors**, something new in the history of Japanese capitalism. This in turn changes transparency and accountability: effects on cross-shareholdings (unwinding), on transparency and information, and overall reforms in CG practices.

The crisis is therefore the hinge between the traditional insider model and the modernizing one: foreign capital arrives, and with it the demand for shareholder-oriented governance.

7. The evolution of corporate governance codes

- **The traditional model** for listed companies was based on a **corporate auditors system** (a board of statutory auditors alongside the directors). Foreign investors did not consider it efficient enough.
- **First reforms:** starting from **1997** (revision of the Anti-monopoly law) and **2002** (revision of the Commercial Law), reforms in line with OECD recommendations are introduced. Starting from **2003** companies may **voluntarily** adopt a committee-based CG system, but this remains a rare event.
- **Second step, from 2015**, within the reforms promoted by Prime Minister Shinzo Abe (**Abenomics**): the new **Corporate Governance Code** suggests the appointment of **at least two independent directors** on a **"comply or explain"** basis.

Philosophy of the 2015 Code: promote the stability and growth of the industrial system, attract foreign capital, increase the value of companies on the basis of shareholder-value (SHV) practices.

Basic pillars of the Code:

- Shareholder rights (anti-director rights) and equal treatment among shareholders
- Cooperation and stakeholders' orientation
- Accountability of the board
- Transparency and information
- Shareholders' involvement

The deck also presents the **two-tier system** as it exists in Japan, connecting the reform path to the board-structure question studied for the other models.

8. Hostile takeovers arrive in Japan: METI 2023 and the Seven & i bid

Hostile takeovers have long been considered a **taboo** in Japan. The corporate governance and stewardship reforms begun in 2014 gradually reshaped the landscape, emphasizing shareholder value and encouraging potential hostile bids.

- **August 2023:** the Ministry of Economy, Trade and Industry (METI) releases the **"Guidelines for Corporate Takeovers"**, advocating **"shareholder intent and transparency"** in dealings with the target company. Historically, targets resisted hostile bids by claiming the bid would damage corporate value, including value for all stakeholders.
- **The symbolic case:** Canada's **Alimentation Couche-Tard** (Circle K) spent about a year trying to acquire **Seven & i Holdings**, the company behind 7-Eleven. On **17 July 2025** Couche-Tard pulled its **$46 billion bid**, saying the retailer refused to engage constructively. It would have been **Japan's largest ever foreign buyout**.
- Drivers: the **weak yen** makes Japanese companies attractive to foreign acquirers; companies with growth potential that fail to raise their corporate value are at risk of being acquired.

The lesson from the story: to avoid being bought up, businesses need structural reforms and a better market valuation. The traditional defense of crossholding shares with business partners is gradually being eliminated. Japanese companies should realize that **the best takeover defense is to improve profitability** and raise their valuation.

9. Common Mistakes and Exam Traps

- Treating a keiretsu as a legal group with consolidated accounts: it is **not a legal entity** and has **no consolidated balance sheet**; coordination is informal, through cross-shareholdings and the main bank.
- Saying lifetime employment covers the Japanese labor force: it applies to about **20%**, mainly in large firms (40% of workers aged 50-59 in large firms have never changed employer, vs 7% in small businesses).
- Believing the Japanese State governs through State-owned enterprises: its influence is **informal** (amakudari, industrial policy, moral pressure), explicitly **without SOEs**.
- Confusing Japan with Germany on employee power: Japanese employees "carry weight" culturally but have **no formal board representation**; German-style co-determination does not exist in Japan.
- Ranking ownership categories from the past: **foreign investors are today the most relevant category** of owners of listed companies; domestic banks and insurance come last among the five.
- Presenting the 2015 CG Code as binding law: it works by **"comply or explain"** and **suggests at least two independent directors**.
- Saying the committee-based system replaced the corporate auditors system: since 2003 it is only a **voluntary** option and remains rare; the corporate auditors model is the traditional default.
- Reading the Couche-Tard / Seven & i case as a completed takeover: the bid was **withdrawn in July 2025**; its importance is symbolic (the end of the taboo), not a change of control.

10. Must Know Absolutely

Must know:
• Ownership of listed companies, in order: foreign investors, trust banks, other (non-financial) companies, domestic individuals/households, banks and insurance companies.
• Keiretsu = business groups with cross-shareholdings; horizontal (leaders in different industries) and vertical (subcontracting hierarchy, e.g. Toyota); **not legal entities**, no consolidated balance sheet.
• Shūshin koyō = lifetime employment, a mutual no-layoff / no-quit commitment; real coverage about 20% of the labor force; restructuring happens through transfers to subsidiaries and hiring cuts.
• Government influence is pervasive but informal (amakudari, industrial policy), without State-owned enterprises.
• Lost Decade trigger: early-1990s real estate bubble burst after low interest rates; effects: banking mergers, weaker banks in keiretsu, tighter monitoring of lending, opening to foreign capital, CG reforms.
• CG framework: traditional corporate auditors system; reforms 1997 (Anti-monopoly law) and 2002 (Commercial Law); voluntary committee system from 2003 (rare); 2015 CG Code under Abenomics, comply or explain, at least two independent directors.
• METI "Guidelines for Corporate Takeovers" (August 2023) = shareholder intent and transparency; Couche-Tard withdrew a $46 billion bid for Seven & i on 17 July 2025; the best takeover defense is improving profitability and valuation.